

PHOTO BY HEMANT MISHRA



“We want to play the entire value chain in the dairy [segment], and the opportunity lies in low penetration of packaged products. Besides, that is the only way to be profitable”

HEMANT MALIK
DIVISIONAL CEO, FOODS BUSINESS, ITC



“We want to be in high-growth- and high-margin categories. The logic is if you win here, you win big... Opportunities are always large and our ability lies in expanding any category”

SAMEER SATPATHY
DIVISIONAL CEO, PERSONAL CARE, ITC

cent market share in eastern India. Even the largest player, Lifebuoy, has a share of just over 20 per cent at a national level. “It is possible to have leadership in a region and Vivel is an example of that. Large product categories always offer these interesting options.” According to Satpathy, the scope for innovation in his business is unlimited and it is clearly a long-term game.

Puri says the inorganic strategy is a critical growth driver and has to be “value-accretive”. In May 2020, ITC acquired Sunrise Foods, a Kolkata-based spices maker, for ₹2,150 crore. With Aashirvaad al-

ready strong in Telangana and Andhra Pradesh, this opened up a new geography. From a strategic point of view, it sits well with ITC’s knowledge of cuisine, agri sourcing and the rural linkages.

Centrum’s Pardeshi points out that ITC will primarily be a foods company. As he sees it, at a gross margin level, there is not much of a difference compared to its rivals. “Its Ebitda margins from the 9-9.5 per cent range can hit 12-13 per cent by FY24. We expect them to have premiumisation across more categories, increase efficiencies and up it on distribution,” he says. Now, the

likes of Britannia and Nestlé “have an advertising-to-sales ratio of 2-3 per cent, while ITC is at 6-7 per cent. A higher Ebitda margin will reduce that percentage for ITC”.

From Puri’s point of view, there is a lot to do in FMCG. “We are already there in the areas that look interesting and now need to look at adjacencies. Since we do *rotis*, it could be *parathas*. We just need to look at more ways to grow the business,” he says with a smile. The folks at ITC are surely in no mood to get even remotely complacent. **BT**

@krishnagopalan